

information technology sector. In fact, there was some bad news. Export-oriented units and units located in export processing zones, free trade zones and software technology parks had been granted a tax exemption on 25 per cent of their sales in the domestic market until then. This was removed in the Budget. The ceiling on FII investment in a company was now raised to 49 per cent. But this did not really matter at a time when FIIs were fleeing India.

The bears intensified their assault soon after the Budget, sensing that the overall sentiment had taken a turn for the worse.

‘Ketan is foolishly trying to support the prices of his favourites in the face of relentless selling; the bears will make a meal of him this time,’ Monk told me over the phone after he had placed an order through me.

I had observed that Monk had been a heavy seller in the Ketan favourites like Global Telesystems, Himachal Futuristics, Zee and DSQ over the past few weeks. Initially, I thought he was unwinding the long positions Ketan had built in these stocks through him. But his remark about Ketan made me think otherwise.

Had he switched over to Ketan’s rivals and was now executing trades on their behalf, I wondered. Or was he short-selling the shares in his personal capacity, on the hunch that Ketan’s game was up?

‘But Ketan is known for his ability to make a comeback when least expected,’ I said, trying to confirm my suspicion.

‘Not this time. He has been done in by overconfidence. He has taken on unmanageable positions, believing he can get prices to obey him irrespective of the market trend. That would have been possible around a year ago. From what I hear, he is now struggling to pay margin money to his brokers,’ Monk said.

Things were rapidly going downhill for Ketan. In a desperate attempt to prop up the prices, he asked his key brokers in Calcutta to buy on his behalf. Share prices, however, continued to melt away. The authorities saw the market fall as the work of a bear cartel that was unfairly trying to beat down prices for their personal gains. No doubt, heavy short-selling was putting pressure on prices; but when the bulls were ramping up prices a year ago and the bears were losing money, the authorities had seen nothing wrong with that.

By now, bad news was pouring in from every corner. Just two days after the Budget, BSE president Anand Rathi called up the surveillance